

contractor “regardless of the equities,” “unlicensed contractors are prohibited from asserting equitable defenses, such as estoppel, to forfeiture.” [Citation.] (*Judicial Council of California v. Jacobs Facilities, Inc.* (2015) 239 Cal.App.4th 882, 896-897.)

Second, case law is well-established in that the forfeiture provision of CSLL authorizing disgorgement requires the unlicensed contractor to forfeit “all compensation received without reductions or offsets for the value of material or services provided.” (*Ahdout v. Hekmatjah* (2013) 213 Cal.App.4th 21, 30; Bus. & Prof. Code, § 7031(b).) “‘[A]ll compensation paid’ does not mean all compensation less reductions for offsets.” (*White v. Cridlebaugh* (2009) 178 Cal.App.4th 506, 520-521.) This means an unlicensed contractor has no setoff rights against an owner or claims for indemnity or contribution against third parties. (*Id.* at 522.)

Moreover, section 7045 of the Business and Professions Code does not operate to offset against the amount awarded as disgorgement under section 7031, subdivision (b). Section 7045 provides that the CSLL “does not apply to the sale or installation of any finished products, materials, or articles of merchandise that do not become a fixed part of the structure....” (Bus. & Prof. Code, § 7045.) Here, the Court has entered judgment for disgorgement in favor of Plaintiffs to be repaid the total \$903,161,19 Plaintiff Buxbaum paid to McFarland Defendants. The judgment was for the amount adjudicated as disgorgement award under section 7031, subdivision (b) of the CSLL. McFarland Defendants cannot now argue that any portion of the disgorgement amount must be relitigated to be determined exempt from the CSLL pursuant to section 7045.

Defendants David McFarland and David McFarland Group, LLC’s Motion to Reduce the Disgorgement Judgment is DENIED.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2400400	BUXBAUM VS MCFARLAND	MOTION AND MOTION FOR ORDER REQUIRING DEFENDANTS TO PAY EXPENSES OF PROOF

Tentative Ruling: As a preliminary matter, it should be noted, while the continued motion was pending hearing, on August 12, 2026, McFarland Defendants filed a notice of appeal of the judgment entered by the Court on August 07, 2026, for total judgment award of \$1,224,783.94. Generally, Code of Civil Procedure section 916, subdivision (a), imposes an automatic stay on matters embraced in or affected by the appealed judgment. (See *Blizzard Energy, Inc. v. Schafers* (2021) 71 Cal.App.5th 832, 842, fn. 4; *Varian Med. Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 196-198.) However, the pending appeal does not affect the Court’s ability to hear this motion, as “an appeal does not stay proceedings on ‘ “ ‘ancillary or collateral matters which do not affect the judgment [or order] on appeal” even though the proceedings may render the appeal moot.’ [Citation.]” (*Association for Los Angeles Deputy Sheriffs v. Macias* (2021) 63 Cal.App.5th 1007, 1028 [appeal of judgment does not deprive trial court of jurisdiction to consider a party’s motion for costs to prove the truth of matters which the opposing party failed to admit].)

As the Court has previously noted on July 15, 2026, Plaintiff has successfully shown that he is entitled to cost of proof as McFarland Defendant provided no evidence

that they had good reasons to believe they would prevail on the issues raised in the RFAs at issue and that they were justified in denying the requests. Plaintiff requested to be reimbursed \$165,360 for 235.1 hours spent on the cost of proof and additional \$12,545 for 19.3 hours for preparing the motion and the related reply. The Court continued the hearing on the motion to August 25, 2026, after finding that Plaintiff had failed to present evidence to show that fees were reasonably incurred in proving the matter at issue (Code Civ. Proc., § 2033.420(a)), instructing Plaintiff to file supplemental declaration along with the appropriate time record in order for the Court to determine the reasonableness of the fees requested. In his updated request, Plaintiff seeks attorney's fees for the total amount of \$167,375, representing 235.1 hours in the amount of \$152,815 purportedly devoted to proving the matter unreasonably denied; 19.2 hours in the amount \$12,480 for preparing the instant motion and the related reply; and an additional 3.2 hours in the amount \$2,080 for supplemental work of reviewing billing records, calculated at his counsel's purported hourly rate of \$650.

If the party responding to request for admission fails to admit the truth of the matter requested, and the requesting party thereafter proves the truth of that matter, the requesting party may move for an order requiring the responding party to pay the costs and fees incurred in proving that matter. (Code Civ. Proc., § 2033.420(a)).) On the requesting party's motion, the court is required to ("shall") make this costs and expenses award, unless the responding party prove any of the excuses further enumerated in this section. Costs and expenses cannot be awarded under section 2033.420 if any of the exceptions are met by the opposing party that:

(1) "An objection to the request was sustained or a response to it was waived under Section 2033.290."

(2) "The admission sought was of no substantial importance."

(3) "The party failing to make the admission had reasonable ground to believe that party would prevail on the matter."

(4) "There was other good reason for the failure to admit." (Code Civ. Proc., § 2033.420(b)(1)-(4).)

Costs for which McFarland Defendants failed to admit went to the ultimate issue of this case: whether the services performed by McFarland Defendants in connection with the project constituted work requiring a California contractor's license. What is left to be determined is whether Plaintiff's requested fees are reasonable in view of the supplemental reply and time records provided by Plaintiff's counsel. Here, based on the review of the attorney's time record, the amount claimed by Plaintiff are reduced to eliminate fees which Plaintiff has failed to show are attributable to McFarland Defendants' failure to admit to RFAs.

Fees incurred beyond the cost of proof:

The costs and expenses award is limited to "reasonable expenses incurred ... including reasonable attorney's fees" in proving matters unreasonably denied. (Code Civ. Proc., § 2033.420(a).) As courts have noted, " [t]he primary purpose of requests for

admissions is to set at rest triable issues so that they will not have to be tried; they are aimed at expediting trial. [Citation.] The basis for imposing sanctions ... is directly related to that purpose. Unlike other discovery sanctions, an award of expenses ... is not a penalty. Instead, it is designed to reimburse reasonable expenses incurred by a party in proving the truth of a requested admission ... [citations] such that trial would have been expedited or shortened if the request had been admitted.’ [Citations.]” (*Stull v. Sparrow* (2001) 92 Cal.App.4th 860, 865.) As such, the statute “authorizes only expenses for proving matters denied by the opposing party,” (*Garcia v. Hyster Co.* (1994) 28 Cal.App.4th 724, 736.) Accordingly, only “[e]xpenses of making the proof are recoverable. ‘ “ ‘Proof’ is the establishment by evidence of a requisite degree of belief concerning a fact in the mind of the trier of fact or the court.” (Evid. Code, § 190.) ’ ’ ” (*Barnett v. Penske Truck Leasing Co., L.P.* (2001) 90 Cal.App.4th 494, 498-499.)

Here, however, Plaintiff claims that he is entitled to recover fees beyond the last trial date of February 04, 2026, on which Plaintiff presented last of his evidence and rested. Therefore, 47.15 hours of fees purportedly incurred for post-trial matters beyond February 04, 2026, shall be excluded. Although it is true that the Court cannot deny costs of proof outright that are mandated by statute, it has discretion to determine the amount of reasonable expense attributable to failure to admit and “exclude any claimed expenses to the extent they relate to issues outside the scope of the request for admission.” (See *Association for Los Angeles Deputy Sheriffs v. Macias*, *supra*, 63 Cal.App.5th at 1031.)

Expenses which are not necessary for proving matters unreasonably denied:

Only expenses resulting from proving matters unreasonably denied should be recoverable. That is, the fees which would have been eliminated had Defendants admitted the matters for which admissions were requested and obviating the need for Plaintiff to produce proof on such issue.

McFarland Defendants argue that contrary to what Plaintiff’s counsel has declared, there are at least 8.2 hours billed on 8/1/2025, 9/16/2025, 11/21/2025, 12/03/2025, 12/04/2025, 12/05/2025, 1/15/2026, 1/21/2026, 1/22/2026, which concern damages, disgorgement, settlement, Plaintiff’s deposition, clerical exhibit assembly that are not related to proving Defendants’ contractor status and beyond cost to be compensated under section 2033.420. As McFarland Defendants have correctly noted, these entries, on their face, do not relate to matters unreasonably denied and therefore are excluded from the cost of proof.

Improper block billing:

As noted by McFarland Defendants, Plaintiff’s counsel has engaged in the practice of block billing which makes it practically impossible to segregate recoverable from unrecoverable fees. This burdens the Court in having to go through line by line as to which portion of fees should be awarded. “Block billing occurs when ‘a block of time [is assigned] to multiple tasks rather than itemizing the time spent on each task.’ [Citation.]” (*Mountjoy v. Bank of America, N.A.* (2016) 245 Cal.App.4th 266, 279.) “Block billing presents a particular problem for a court seeking to allocate between reimbursable and reimbursable fees, and trial courts are granted discretion ‘to penalize [block billing] when the practice prevents them from discerning which tasks are compensable and which are

not.’ [Citation.]” (*Marriage of Nassimi* (2016) 3 Cal.App.5th 667, 695.) Furthermore, many of the block-billed entries include purely clerical work which are not recoverable. “It is well established that a plaintiff may not recover fees for time spent on purely clerical work.” (*Zargarian v. BMW of North America, LLC* (2020) 442 F.Supp.3d 1216, 1229, citing *Davis v. City & Cty. of S.F.* (9th Cir. 1992) 976 F.2d 1536, 1543, vacated on other grounds by *Davis v. City & Cty. of S.F.* (9th Cir. 1993) 984 F.2d 345 “[P]urely clerical or secretarial tasks should not be billed at a paralegal [or lawyer’s] rate, regardless of who performs them ... [The] dollar value [of such non-legal work] is not enhanced just because a lawyer does it[.] This justifies an additional reduction.

First, McFarland Defendants argue that Plaintiff attributes the entire 30.2 hours his attorney billed for three days of trial attendance on 2/2/2026, 2/3/2026, 2/4/2026 for a total of \$19,630, whereas the RFA matters relate to one issue out of many determined at trial. Cost of proof award is “part of a procedural mechanism intended to expedite trial by reducing the number of triable issues that must be adjudicated.” (*City of Glendale v. Marcus Cable Associates, LLC* (2015) 235 Cal.App.4th 344, 359.) Because Plaintiff has not properly demonstrated the hours attributable to recoverable matters, he shall only recover attendance for first day of trial, resulting in a reduction of 18.5 hours.

Defendants also attack certain billing entries demonstrating Plaintiff’s use of block billing makes discerning between recoverable and nonrecoverable difficult. These refer to entries entered on 1/16/2026, 1/21/2026, 1/22/2026, and 3/30/2026, which, by Plaintiff’s own descriptions, do not indicate what portion of the work was dedicated towards proving the matters which would not have become a triable issue but for Defendants’ denials of RFAs. As set forth above, any billing entered subsequent to the last date of trial should be excluded. As such the item billed on 3/3/2026 for 1.8 hours has already been excluded from the fee calculation. The dates of 1/21/2026 and 1/22/2026 have already been factored in the reduction above.

Fees incurred in connection with litigating cost of proof:

Plaintiff seeks 19.2 hours in the amount of \$12,480 for preparing the instant motion and the related reply; and an additional 3.2 hours in the amount of \$2,080 for supplemental work of reviewing billing records. The 19.2 hours spent on the fee motion and related reply is excessive and should be curtailed to 12 hours for preparing the motion and the reply. Plaintiff’s claim of additional 3.2 hours is unreasonable, especially in light of the fact that the supplemental work in reviewing time record was necessitated by Plaintiff’s counsel’s deficient evidence submitted in support of cost of proof under section 2033.420. Moreover, counsel already billed for 1.3 hours on 5/19/2026 for time spent on reviewing billing records and invoices for use in the instant motion. The Court shall award 1.5 hours for the supplemental work. In total, this results in another reduction of 8.9 hours.

Evidence in support of the reasonableness in attorneys’ hourly rates:

Plaintiff’s counsel claims that he bills at an hourly rate of \$650. Here, the hourly rate claimed by Plaintiff’s counsel is not consistent with the prevailing hourly rates of senior-level attorneys practicing in Riverside County. The more reasonable hourly rate is \$600. A court may rely on its familiarity with the legal market in setting a reasonable hourly rate. (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009.) The court

may consider various other factors when determining a reasonable hourly rate, such as the attorney's skill and experience, the nature of the work performed, the relevant area of expertise and the attorney's customary billing rates. (*Flannery v. California Highway Patrol* (1998) 61 Cal.App.4th 629, 632-633; see *Stratton v. Beck* (2017) 9 Cal.App.5th 483, 496 [trial court's conclusion \$450 hourly rate for experienced labor lawyer was supported by substantial evidence (e.g., labor lawyer's declaration showing familiarity with similarly experienced labor lawyers in Los Angeles area who charged \$500 to \$800 per hour and lawyer provided court with order from 2005 in which he was awarded \$350 per hour)].)

Plaintiff's Motion for Order Requiring Defendants to Pay Expenses of Proof GRANTED in Part.

Total hours reduced to 191.45 hours at rate of \$600/hr for total award of \$114,870.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2509388	ESPINOZA VASQUEZ VS INTERINSURANCE EXCHANGE OF THE AUTOMOBILE CLUB	MOTION TO COMPEL PLAINTIFF MARIA ESPINOZA VASQUEZ'S RESPONSES TO THE EXCHANGE'S FORM INTERROGATORIES, SET ONE, AND FOR SANCTIONS AGAINST PLAINTIFF AND HER COUNSEL BY INTERINSURANCE EXCHANGE OF THE AUTOMOBILE CLUB

Tentative Ruling:

No opposition filed.

Defendant's Motion to Compel Responses to Form Interrogatories, Set One, GRANTED.

Plaintiff to provide code-complaint, verified responses, without objection, within 20 days.

Defendant's Request for Sanctions GRANTED. Plaintiff to pay attorney for Defendant \$285 (\$225 for 1 hour + \$60 costs) within 30 days.

Case Management Conference remains set for March 15, 2027.